

over. Many entrepreneurs don't realise that they risk losing the company when the creditors come calling," says Ritesh Banglani, Partner at Stellaris Venture Partners.

Securing debt, whether in the form of venture debt, TLB, convertible notes, or other structured loans, carries consequences for loss-making start-ups. Particularly, when undertaken with the expectation of a future equity round, such bold moves become precarious, given the swift and unforgiving fluctuations often witnessed in the private capital markets. "Heavy reliance on high-risk debt without a clear plan for future financing or profitability may deter investors from future funding rounds, creating uncertainty and caution. Additionally, market perception is crucial; investors may interpret the use of high-risk

PER PRIVATECIRCLE RESEARCH, 115 UNICORNS HAVE COLLECTIVELY AMASSED OVER ₹50,000 CRORE IN DEBT IN 2022 ALONE, AND FOR MANY, THE BURN OF THIS DEBT BURDEN IS ALREADY BEING FELT

debt as a sign of financial distress, triggering negative sentiment and impacting the company's market standing," points out Ankur Bansal, Co-founder and Director of Black-Soil, an alternative credit platform.

TLBs offer more flexibility compared to traditional loans, featuring elements like "payment-in-kind" coupons, variable interest rates, and diverse collateral forms. Unlike amortising loans, TLBs

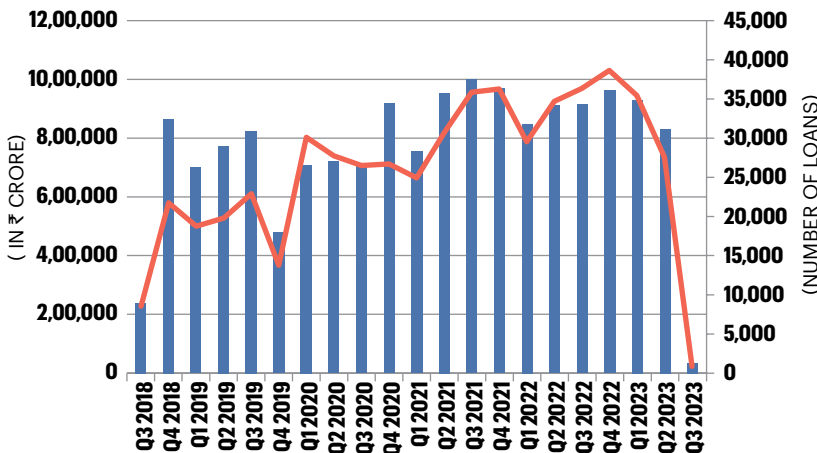
typically follow a bullet profile, accumulating repayment until the end, posing a refinancing risk. If companies lack the cash flow for lump-sum repayments, covenants may be breached, prompting debt providers to protect their capital.

Meanwhile, convertible notes are gaining favour among growth-stage start-ups due to their unique approach of not assigning a fixed valuation to the funding round.

THE LOAN BURDEN

● Debt comes in varied forms, with structure, collateral, and other factors affecting pricing and conversion

● Companies and boards must carefully assess financial instruments and stay aligned with market trends



● SECURED DEBT RAISED (LHS) — SECURED DEBT DEAL VOLUMES (RHS)

NOTE SECURED LOANS TAKEN BY INDIAN UNLISTED COMPANIES; DATA TILL DECEMBER 19, 2023; THE ANALYSIS IS LIMITED TO 154,000 UNLISTED COMPANIES ON THE PRIVATECIRCLE PLATFORM. IT COVERS COMPANIES OF ALL SIZES, INCLUDING DEBT DETAILS OF LARGE CORPORATIONS LIKE JIO DIGITAL FIBRE PRIVATE LTD AND ADANI AIRPORT HOLDINGS LTD

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“Debt is a very powerful instrument but it needs to be used judiciously. Founders and companies need to appreciate that it has a very different profile than equity”

RAHUL KHANNA
CO-FOUNDER AND MANAGING PARTNER, TRIFECTA CAPITAL